Country Analysis:

A Framework to Identify and Evaluate the National Business Environment[1]

Managers' ability to build profitable firms depends in part upon the business environment. The external environment of business influences resources, prices (wage rates, interest rates, exchange rates, for example), incentives, and imposes constraints on managers' current and future actions. A prerequisite to prospering is therefore the ability to anticipate, and perhaps foster changes in the business environment. This note provides a framework to help managers do this.

We describe building a picture of the national business environment as **country analysis**. Country analysis complements analyses of industry dynamics and the international environment. The country analysis framework has three interdependent components - strategy, context, and performance. The components provide a convenient way to organize information. Analysis, the most important task, consists of identifying and evaluating the relationships among the variables.

By **strategy**, we mean a nation's implicit and explicit *goals* and the *policies* designed to achieve those goals. The **contextual** components we focus on are the *resources* at a nation's disposal, and the *"players"* and *"rules of the game"* that define a national system and structure the incentives to mobilize and allocate those resources. Context has a national and international dimension. National strategy, constrained by the country's context, leads to **performance,** which can be judged by assessing how well the country is doing economically, politically, and socially.

A country analyst's task is to build a holistic picture that integrates strategy, context and performance. The identification and evaluation of the relationships among the components of country analysis require the concepts and analytical methods of economics, political science, and sociology. We sacrifice something in economic rigor to achieve a more balanced presentation of social and political realities that are important for business.

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1 The note builds on previous statements of the country analysis framework presented by James E. Austin, "Country Analysis Framework," 389-080, and Bruce R. Scott, "Country Analysis," 382-105. The definition of context used here also reflects insights developed in the writings of Douglass C. North, (e.g. *Institutions, Institutional Change and Economic Performance* (Cambridge University Press, New York, 1990)). Professor North received the Nobel Prize in economics for this and related work.

Assistant Professor I. J. Alexander Dyck prepared this note as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

For the most part, we treat the nation state as a purposeful entity managed by a government decision maker. Such a perspective is a dramatic simplification of the actual decision making process but provides a format for organizing data and starting analysis. This is analogous to assuming a business to be a purposeful entity, even though its various members have only certain interests in common, and management makes only some, but by no means all, of the decisions in light of some strategy. When useful, we delve deeper into the national decision making process and investigate the incentives and structure of government and the interaction between state and non-state actors in national decision making.

Identification

We begin country analysis by identifying the three components of strategy, context, and performance. To help organize data it is useful to keep track of the information we collect over time under category headings, as illustrated in Figure 1. Remember, however, that classification is not an end but only a step toward analysis. Also, there is nothing magical about a particular classification system. A particular analyst may find another classification system more useful, or classification may differ a bit by country. Nevertheless, the basic elements are likely to be similar across analysts and countries.

Strategy

A country's national strategy is reflected in the goals and policies of decision makers. The country analyst must deduce the strategy from various government statements and actions of state and non-state actors. Strategy analysis includes the following questions: What are the national goals? What are the relative priorities among the goals? What are the government's policies? How are the policies interrelated? What features of the context are the policies addressed towards?

Goals

Country analysts must recognize the diversity of potential national goals and the relative priority attached to these different objectives. <u>Goals</u> are individual and national and have economic, political, and social dimensions. Economic goals commonly include improved individual welfare, reflected in measures such as GNP/capita growth, low unemployment, stable prices, or rising consumption. Political goals might include national power, re-election, sovereignty, stability, or preservation of a particular type of political system. Social goals might include improving the population's educational levels or health status, reducing income inequalities, or increasing housing.

Policies

<u>Policies</u> are government actions targeted towards national goals. The policies we consider almost always include fiscal, monetary, trade, exchange rate and specific sectoral policies (e.g. agriculture, education). The range of policies pursued by government is even more broad, including economic, political and social policies. For the most part, we concentrate our attention on policies whose primary intent or effect is to influence significantly the mobilization, allocation, and efficiency of resource use.

One distinguishing feature of policies is the weight they place on markets relative to the state to mobilize and allocate resources. At the one extreme are *laissez faire* economic policies where, within the constraints placed by the rules of the game, policy seeks to ensure that resource allocation and use are made by non-state entities based primarily upon price signals. By decentralizing

decision making, laissez faire policies can take full advantage of information held by individuals. At the other extreme are policies that seek to increase the state role, and rely on the authority of the state, rather than price signals, to allocate resources. By centralizing decision making, there is the possibility of more coordinated decisions and greater mobilization of resources. The extreme example of state involvement is the fully centrally planned economic system where almost all decisions about the organizations and resource mobilization and allocation are made by the state.

All national systems involve a mixture of policies that encourage both centrally coordinated and decentralized decision making. Country analysis, with its historical and comparative perspective, encourages the country analyst to uncover patterns in the reliance on governments and markets to allocate resources. Generally speaking, countries at earlier stages of development and facing national emergencies are willing to rely more heavily on centrally coordinated decision making.

Another useful way to categorize policies is by their impact on a country's external orientation. An inward-orientation relies on policies that reduce the flow of goods, capital, and labor across borders. This set of policies usually goes under the name of import-substitution and was particularly popular in the developing world in the 1950s and 1960s. An outward-orientation relies on policies that allow free flows across borders or promote flows of certain factors of production across borders. Such policies, most closely associated with newly industrializing economies in southeast Asia, have generated increased attention in the 1980s and 1990s.

Policies are intimately related to context because policies work by changing one or more features of the context. In this way, context is the archeological layer that reveals past human decisions. Because most policies have only a minor impact on a nation's context at a point in time, historical evaluation offers a useful window to view the evolving impact of policy on contextual constraints and national performance.

Context

The features of the context on which we focus attention are: national resources; the "players" in the national system, and the "rules of the game" that influence what players come into existence, how they allocate resources, and how they evolve. Context has both a national and an international dimension. The interaction between various elements of the national context is illustrated in Figure 2.

Resources - The Equipment and Recruiting System

As economists remind us, the ability to achieve national goals is constrained by the **resources** at a nation's disposal. One way to define national resources is to classify resources as human capital, physical capital, natural resource wealth, and technological skills. An accurate indicator of a nation's human capital includes the number of individuals of working age and measures to account for other factors such as their willingness to participate in the labor force and their skill and education levels. The amount of human capital is influenced by demographic factors, individual choices and government policies. Physical capital refers to the machinery and structures that are the direct result of present and past investments by firms and governments. This is crudely measured in national income accounts as the national capital stock. Natural resource wealth includes resources such as oil or timber, as well as the geographical location and topographical features of the country. Finally, a nation's technological development refers to its ability to utilize existing processes efficiently and the ability to innovate.

At times, we also use the term resources to refer to both the stock of resources available at a point in time as well as to the deeply ingrained forces that lead to future accumulation of these resources. For example, the number of workers is to a large degree driven by demographic factors influenced by mortality and fertility rates, both current and in the recent past. Similarly, the rate of national investment affects future levels of the capital stock.

In an economy where most resources are allocated by markets, a country analyst can begin to identify the relative abundance or scarcity of these different national resources by referring to the prices these resources receive in markets for their services. The average wage rate and changes in the rate of growth of wages conveys information about the relative abundance or scarcity of labor. The interest rate reflects partially the relative abundance or scarcity of physical capital in the country. The relative abundance or scarcity of different resources influences the feasibility of policies and the incentives of organizational actors.

The Players in the Game

A national system is of course more than just the sum total of national resources. The ability of a national system to achieve national goals depends critically on the "players of the game" that transform those resources. We categorize these players as firms, government actors and non-government organizations. Policy is usually implemented by changing the incentives of existing organizations, although the creation or destruction of an organization might itself be a national policy.

Herbert Simon, a Nobel Prize winning economist, reminds us how important it is to recognize the pervasive role organizations play in national systems.

> (Suppose that a mythical visitor from Mars) approaches the Earth from space, equipped with a telescope that reveals social structures. The firms reveal themselves, say as solid green areas. . . . Market transactions show as red lines connecting firms, forming a network in the spaces between them. . . . No matter whether our visitor approached the United States or the Soviet Union, urban China or the European Community, the greater part of the space below it would be within the green areas, for almost all of the inhabitants would be employees, hence inside the firm boundaries. Organizations would be the dominant feature of the landscape.[2]

Firms of course play a large role in national systems and have the closest direct link to resource allocation and use. Comparing countries, there is a tremendous variety of approaches to ownership structure, degree of product diversification and relationships between firms. In countries like India and others in the developing world, the largest firms are often family-owned rather than owned by diversified individual shareholders. Many firms, like the *chaebol* of Korea, are much more highly diversified than the typical American firm. There are also often close relationships among firms that provide for coordinated action in export markets and/or limit internal competition. These differences need to be recognized for they affect the dynamics of the business environment.

Relative to other business school courses, country analysis requires more focus on the role of non-firm organizations. These organizations provide the channels through which citizens seek to achieve their goals and can play a large role in independently allocating resources and influencing

[2] Herbert Simon, "Organizations and Markets," *Journal of Economic Perspectives*, Vol. 5, No. 2, 1991.

and coordinating firm actions. In fact, differences in the role and importance of non-firm organizations help to define national systems.

The most important non-firm organizations are government actors. Governments have direct responsibility for sizable fractions of national wealth. In many countries government actors are significant "players in the game," both producing and consuming significant fractions of national output. Government actors also play a critical role in coordinating activity of firms, and influencing decisions made within firms. We define government actors broadly to include central banks, ministries, state-owned firms, regulatory agencies, and the different branches of government (courts, executive, legislative bodies). Depending on the country, we focus on different government actors. In Japan, we highlight the Ministry of Industry Trade and Investment (MITI) given its important role in rewarding and penalizing firm behavior. In the United States, we pay attention to the Federal Reserve Board given its influence over monetary policy.

We also bring attention to the important roles played by non-state organizations. These organizations include religious groups, labor organizations, employer associations, political parties, schools, and activist groups. Non-state organizations rarely directly allocate resources, but they can have a significant indirect influence by coordinating and constraining actions of the state and firms. For example, it is hard to understand the German system without recognizing the role that employer associations and national labor unions play in wage setting and worker training.

For many purposes, firms, government actors and non-state organizations can be treated as unitary entities with distinct interests and incentives. When a particular organization plays a large role in society it is often fruitful to investigate its internal structure and incentive systems. For example, when evaluating the government it is important to keep in mind that government actions reflect, at least partially, the interests of various constituencies. Therefore, at time country analysis requires careful delineation of conflicts among constituencies, the structure of government, the incentives of political actors, and the mechanisms to transfer power from one leader to the next.

The Rules of the Game

One level deeper in the analysis of national systems is an investigation of the "**rules of the game**." Just like it is impossible to understand any sport without first learning its rules, country analysts must recognize the written and unwritten rules of conduct in order to evaluate national systems. Often these rules of the game are so well understood and commonly shared that they are not even recognized by players. But that does not mean they are not important. Without understanding the rules, existing players will have difficulty introducing policies and new players can't even begin to compete.

The adoption of a particular rule system has a significant impact on economic development. Professors Douglass North and Robert Thomas for example suggest that the rise of the western world and the comparative success of nations like Britain is attributable to the gradual evolution of a more efficient rule system.[3] In their view, countries fared better if they established property rights that brought private and social returns closer together. For example, it is hard to explain the poor performance of Spain without reference to the law that gave the shepherds guild the right to drive sheep across anyone's land without fear of penalty. While the shepherds guild brought significant revenue to the Crown, it certainly discouraged agricultural development as at any moment sheep could come marching through and destroy ones crops.

[3] See Douglass North and Robert Thomas, *The Rise of the Western World*, (Cambridge University Press, New York, 1973).

As this example suggests, an important role of rule systems "is to reduce uncertainty by establishing a stable (but not necessarily efficient) structure to human interaction."[4] By rules of the game, we mean both the rules underlying human interactions and the enforcement of those rules. The rules define what is permissible and what is not. The rules bias the evolution of different players, and influence the incentives within and between organizations, whether those incentives be economic, political, or social.

Rules can be formal or informal. Of these two types of rules, it is easiest for a country analyst to identify formal rules for they are often, but not always, written down. The Napoleonic Civil Code, which Napoleon introduced following his invasion of many European countries, is an example of such a rule system. The US constitution provides another example of a rule system, although the real force of this document emerges from a combination of executive decisions, legislative actions and judicial interpretations.

Formal rules are both political and economic with causation often, but not always, going from the political to the economic. Douglass North provides a useful definition: "Political rules broadly define the hierarchical structure of the polity, its basic decision structure, and the explicit characteristics of agenda control. Economic rules define property rights, that is the bundle of rights over the use and the income to be derived from property and the ability to alienate an asset or a resource."[5] Firms also occasionally write down formal rules of conduct that constrain their behavior such as industry standards and codes of conduct. These can be, but are not always, enforced by government rules.

Informal rules are not susceptible to simple identification, but play a pervasive role in national systems. Informal rules include practices like not cheating in business dealings, gift exchanges associated with business transactions, and even tipping in restaurants. These informal rules "come from socially transmitted information and are a part of the heritage that we call culture."[6] Ideas, ideology, and religious belief all play large roles in defining and changing informal rules.[7] Non-state organizations play an important role in communicating and enforcing these informal rules.

The strength of informal rule systems is readily made apparent when attempts are made to replicate formal rule systems designed by others. Many countries, such as Brazil and the Philippines, have sought to achieve America's economic success by adopting close replicas to the US constitution. The results have rarely met expectations. Or consider the attempt by the American government to implement US-style rules in Japan and Germany following the second world war. Many if not most interactions remained unaltered by the change in formal rules.

For the most part, it is useful for country analysts to think of the rules of the game as fixed and hence constraints on activity of firms, governments, and non-firm organizations. However, as historical analysis and cross country comparisons show, rules are in part designed by individuals and can change and develop.

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[4] Douglass North, *Op. Cit.*, p. 6.

[5] Douglass North, *Op. Cit.*, p. 47.

[6] Douglass North, *Op. Cit.*, p. 37.

[7] George Lodge defines ideology and suggests the pervasive role it can play in national strategies in "Introduction: Ideology and Country Analysis," George Lodge and Ezra Vogel, eds., *Ideology and National Competitiveness: An Analysis of Nine Countries* (Boston: Harvard Business School Press, 1987).

The transformation of rule systems is in fact often central to new national strategies. But the challenge of transforming rule systems is far more difficult than altering incentives given an existing set of rules. Formal rule systems can be very difficult to change because reform may require actions on the executive, legislative and judicial levels. Informal rule systems are perhaps the most difficult constraint to modify through government policies. This poses difficulties for reform.

The International Dimension

The achievement of national goals depends not only on national policies and context but on the international environment. Firms in one nation, operating according to a particular set of rules and influenced by national policies, compete with firms conditioned by a set of rules and policy regime defined elsewhere. To understand the dynamics of this situation, it is useful to look beyond the firms to both differences in national economic systems (domestic strategy and context), and differences in nations' international strategies. Additionally, to resolve conflicts arising from cross-country differences in organizations and rules, governments have sometimes used international organizations to define rules and even, on occasion, mediate disputes. The most important such actors are the International Monetary Fund (IMF), the World Bank, and the World Trade Organization (successor to the General Agreement on Tariffs and Trade).

A country analyst thus requires not only knowledge of the national economic, political and social system and national policies toward the outside world, but also the structure and nature of outside forces that constrain national policies or afford new opportunities. Figure 3 illustrates the challenge involved.

Policy Evaluation

To evaluate a national strategy, a country analyst has to go beyond identifying the components of country analysis to examine the interrelationships among the components, drawing upon theory and knowledge of similar empirical relationships. The relationships are complex. Current policy works by changing features of the context. The context constrains implementation of current policy and is heavily influenced by past policy.

As a starting point, a country analyst needs to benchmark performance against some standard. Useful standards include stated government goals, past performance, and the performance of other countries, particularly those at similar stages of development. Measuring national performance is therefore an integral feature of country analysis. Providing guidelines for useful measurement is, however, beyond the scope of this note.[8]

Deeper evaluation requires a theoretical evaluation of the relationships between policies and national development. Such analysis is also beyond the scope of this note, but some useful questions can still be recommended.

First, for policies to affect national economic development they have to influence resource mobilization, allocation, and ultimately efficiency of use. Therefore, useful questions to ask of policy are:

- How does the policy affect resource mobilization?

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[8] Interested readers are encouraged to consult Michael Rukstad, "How to Read Data Exhibits," *Macroeconomic Decision Making in the World Economy*, (Dryden Press, New York, 1992).

- How does the policy affect the allocation of resources across competing sectors?
- How does the policy affect the efficiency of resource allocation within firms?

Second, while policies often involve changes in all dimensions of a nation's context, the dynamics of policy change are heavily influenced by the primary channel through which policies work. More conservative policies, which work through existing players and do not challenge the rules of the game, are more likely to spur achievement of modest goals but less likely to lead to dramatic change. In contrast, radical change, which attempts to destroy or create new players or to change the rules under which resources are allocated, has the potential for dramatically altering a nation's path of growth and development. Radical change is also less likely to succeed, or if it succeeds it requires many supporting changes and takes a considerable period of time.

Effective country analysis therefore identifies the elements of reform packages that are conservative and radical and evaluates the likelihood and timing of their implementation. Useful questions to ask are:

- Does the policy seek to utilize existing players and rules of the game?
- Does the policy require destruction or creation of new players?
- Does the policy require a change in the rules of the game?
- Does this country have the organizational capabilities and rules of the game to implement its strategy?

Third, there is often an interdependency between various elements of a national system. The pursuit of one policy works better because another policy has already been implemented, including organizational change and supporting changes in formal and informal rules. For example, the Korean policy in the 1970s to raise revenue and target funds towards private investment is likely more effective because receiving firms were required to compete in export markets. The complementarity of different elements of an economic system implies that importing one element of another country's system will not work very well unless there are simultaneous efforts to introduce the players and rules of the game that supported that policy.

Above all else it is important to realize that evaluation is both science and art. As HBS Professor Bruce Scott observed,

> Evaluation is to country analysis what diagnosis is to medicine. It is the process of observing the 'vital signs' and performing the necessary special tests to describe the patient's condition, developing a theory of the cause(s) and a prognosis for the future based on 'similar cases.'
>
> Medical evaluation is informed by acquaintance with theories developed in specific courses, but is ultimately developed based on apprenticeship to a skilled clinical examiner.
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> Similarly, the identification aspect of country analysis can be spelled out in a text, complete with a checklist. Evaluation seems best learned through practice, first in a classroom with guidance from a faculty member, later in the real world with give-and-take among various experts. The (preceding) discussion can merely suggest how to begin; only sustained practice in the face of ever-changing reality can help you develop the art of sound evaluation.[9]

[9] Bruce Scott, *Op. Cit.*, p. 11.

Figure 1 - Illustrative Way to Organize Information for Country Analysis

Strategy	**Context**	**Performance**
Goals: Higher per-capita income level and growth, equality of income, stability, autonomy, defense, etc.	<u>*National*</u> *Resources*: Labor, capital, natural resources, technology, geography	*Economic* GNP National income accounts Prices (wages, interest rates) Inflation Unemployment, etc.
Policies: Fiscal, monetary policies Exchange rate policies Trade and investment policies Sectoral policies	*Players in the Game* Firms Government actors Non-state organizations Unions, employer assoc., religious groups, political parties, etc.	*Social* Income distribution Fertility, mortality, Literacy, etc.
Industrial policies Social Policies Constitutional reform	*Rules of the Game* Formal rules - economic (e.g. property rights, contract law), political (e.g. federal system, sep. of powers), treaties Informal rules - conventions, culture, religious beliefs, ideology	*Political* Political stability, political freedom, etc.
	<u>*International*</u> Location International Organizations Treaties on Trade and Investment, international monetary system	*International* Balance of payments Exchange rates Tariffs, quotas

Figure 2 Country Analysis Framework: More Than Firms

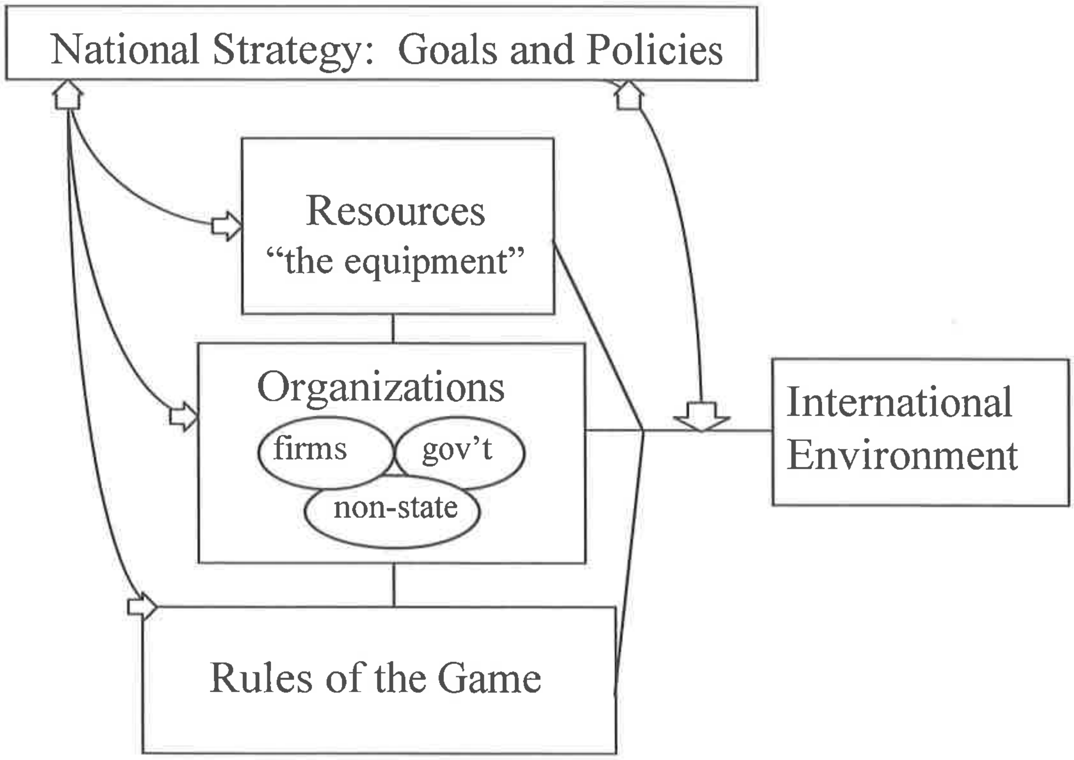

Figure 3 - The International Dimension of Country Analysis: More Than Firms